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the asset on the date of sale is calculated by subtracting the total depreciation provided on the asset from the date of its purchase or construction to the date of sale from the original cost of the asset. If the sale price is more than the book value of the asset, the difference is profit. On the other hand, if the book value of the asset is more than the sale price, the difference is loss.

Book value = Cost of the asset – Total depreciation provided upto the date of sale

Profit on sale = Sale price – Book value (Sale Price > Book Value)

Loss on sale = Book Value – Sale price (Sale Price < Book Value)

Illustration 9

Joy and Co. purchased machinery on 1st April 2016 for ` 75,000. On 31st March 2018, it sold the machinery for ` 62,000. Depreciation is to be provided every year at 10% per annum on the fixed instalment method. Accounts are closed on 31st March every year. Find out the profit or loss on sale of machinery.

Solution

Calculation of profit or loss on sale of machinery

Particulars		`
Cost price		75,000
Less: Depreciation for 2016-17	(75,000 x 10%)	7,500
		67,500
Less: Depreciation for 2017-18	(75,000 x 10%)	7,500
Book value on the date of sale		60,000
Less: Selling price		62,000
Profit on sale		- 2,000

The selling price is more than the book value on the date of sale of machinery. Hence, the difference ` 2,000 is profit on sale of machinery.



Student activity

Think: Will the method of depreciation affect the profit or loss made on the sale of an asset?

Illustration 10

On 1st April 2015, Kumar purchased a machine for ` 80,000 and spent ` 20,000 on its installation. The residual value at the end of its expected useful life of 8 years is estimated at ` 4,000. On 30th September 2017, the machine is sold for ` 50,000. Depreciation is to be provided according to straight line method. Prepare Machinery Account. Accounts are closed on 31st December every year.